

firing/hiring of a new coach is in order. In this scenario, we can still attend our cocktail party. “Yeah, we hired this Armani-clad expert to manage our portfolio. He charged outrageous fees and underperformed the index, so we fired him. You should see this new guy though! He is also an Armani-clad expert, but he has slicked-back hair! He charges outrageous fees, but he has deep experience and qualitative insights. His recommendations are complex and proprietary, so I am sure they will work...” Emotionally, failure is scary. It's harder to pursue an option, albeit an empirically sound one, for the fear of bearing the blame when markets turn sour.

Inertia Is Difficult to Overcome

“To do nothing is within the power of all men.”

—Samuel Johnson

The status quo is powerful and our ability to transition to a DIY solution may be impossible. As the old saying goes, “If it ain't broke, don't fix it.” The effect of passivity is powerful, since a mistake due to an action committed is more psychologically painful than a mistake produced by a failure to act. When we depart from a default option of sticking with what we already have, we are setting ourselves up for regret.

When we make a change or take an action that results in a loss of utility, the pain of the loss is more significant than gains of a similar magnitude. And as we know from prospect theory, losses hurt more than gains. In financial terms, people appear to be more sensitive to losses than they are to gains, and tend to be “loss averse.”

We see this bias reflected in the *disposition effect*, whereby investors are prone to hold losing stocks for too long, since realizing the loss would be psychologically painful. This effect also drives what we refer to as procrastination, whereby we postpone taking action, deferring our experience of pain.

Thaler and Sunstein, in their book *Nudge*, have referred to status-quo bias as the “yeah, whatever” heuristic.⁷ By failing to explicitly choose to act, we implicitly choose inaction. A conversation between a DIY investor in a conversation with Mr. Status Quo might go as follows:

Us: “But I could reduce the fees on my account!”